

Problem-First Thinking

How great businesses start with a problem, not a product

Name: _____

Date: _____

Class: _____

Part 1 — Watch the Video First

Watch: **How to Develop a Business Idea — Crash Course Business #2**

URL: youtube.com/watch?v=iywvIUk2Wfg (12 min)

1. Where does the video say business ideas come from? Name at least one source it describes.
2. What is the Business Model Canvas and what does the video say it is useful for?
3. The video uses Netflix as a detailed example. What problem does Netflix solve and how does its business model work?

Part 2 — Video Summary

Read this summary carefully — the quiz is based on these key ideas.

Where ideas come from

- The video says great ideas rarely come from sitting alone and thinking — they come from observing problems in the real world.
- Ideas often come from your own frustrations: things that bother you, services that do not work, or needs that are not being met.
- Ideas can also come from combining existing things in new ways — you do not need to invent something from scratch.
- Talking to people, being curious, and asking 'why doesn't this work better?' are the most reliable sources of business ideas.
- The video emphasizes: everyone has ideas — the real work is testing them, sharing them, and getting feedback.

The Business Model Canvas

- The Business Model Canvas is a one-page framework that breaks any business into 9 key building blocks.
- Key sections include: your customer segments, value proposition, channels, customer relationships, revenue streams, key resources, key activities, key partners, and cost structure.
- It was designed to help entrepreneurs think through a business quickly without writing a lengthy formal plan.
- Netflix example from the video: their value prop is on-demand entertainment, their revenue is subscriptions, their key resource is their content library, their channels are the app and website.
- Using a canvas lets you spot gaps in your thinking before you spend time or money building something.

Problem-first thinking in practice

Problem-First Thinking

How great businesses start with a problem, not a product

- Start with the problem, not the product — ask 'what frustrates people?' before you ask 'what should I build?'
- A problem is most worth solving when it is: experienced by many people, experienced frequently, and currently solved poorly.
- The video says that validating a problem (confirming it is real and important to people) is the most critical step before starting.
- Entrepreneurs who fall in love with their idea before validating the problem waste enormous amounts of time and money.

From idea to business concept

- An idea becomes a business concept when you can answer: Who has this problem? How big is this group? How are they solving it today? And why would they pay for a better solution?
- The video walks through how to move from a rough idea to a filled-in Business Model Canvas — the foundation of any real business plan.
- Sharing your idea early (not keeping it secret) is one of the most important moves a new entrepreneur can make.

Part 3 — Key Vocabulary

Business Model Canvas	A one-page visual framework that maps out the 9 key components of any business.
Value Proposition	The specific benefit your product or service delivers to a customer — why they would choose you.
Customer Segment	A specific group of people with a shared problem, need, or characteristic that your business serves.
Revenue Stream	The way a business earns money — subscriptions, one-time sales, licensing, advertising, etc.
Problem Validation	The process of confirming that a problem is real, widespread, and important to potential customers.
Business Model	The plan for how a company creates, delivers, and captures value from its products or services.
Iteration	Making small improvements to a product or idea based on feedback, rather than trying to make it perfect first.
Pivot	A significant change in a business strategy or product direction in response to feedback or market conditions.

Part 4 — Lesson Quiz

Circle the letter of the best answer for questions 1-4. Write your response for question 5 on the lines provided.

Problem-First Thinking

How great businesses start with a problem, not a product

Do not look up the answers — complete this from memory after watching the video and reading the summary. Upload your completed sheet at futureceolab.com to see your score, which questions you got right, and the correct answers for any you missed.

Q1. According to the video, where do the BEST business ideas usually come from?

- ☐ (A) Sitting alone and brainstorming completely original concepts
- ☐ (B) Observing real problems and frustrations in everyday life
- ☐ (C) Copying what successful companies are already doing
- ☐ (D) Reading business books and following their advice

Q2. What is the Business Model Canvas?

- ☐ (A) A detailed 50-page business plan document
- ☐ (B) A one-page visual framework that maps the 9 key components of a business
- ☐ (C) A financial spreadsheet showing projected profits
- ☐ (D) A legal document required to start a business

Q3. The video uses Netflix as an example. What is Netflix's PRIMARY value proposition?

- ☐ (A) The cheapest way to buy DVDs online
- ☐ (B) On-demand entertainment available anytime, anywhere via subscription
- ☐ (C) Live TV streaming with hundreds of channels
- ☐ (D) A platform where users can upload their own videos

Q4. What does the video say you should do BEFORE spending time and money building your product?

- ☐ (A) Design the logo and branding
- ☐ (B) Write a 50-page formal business plan
- ☐ (C) Validate the problem by confirming it is real and important to your target customers
- ☐ (D) Register your company name legally

Problem-First Thinking

How great businesses start with a problem, not a product

Short Answer — Question 5

Q5. Describe a problem you have noticed in your school, neighbourhood, or daily life that bothers you. Using the problem-first thinking approach from the video, explain: (1) Who else has this problem? (2) How are people currently dealing with it? (3) What would a better solution look like?

Write your answer here:

Reflection Journal (optional — not graded)

"What is one problem in your life or community that you have noticed but never thought of as a business opportunity? Could it be one? What would it take to find out?"

Write your reflection here:

How to get your grade: Take a clear, well-lit photo of this completed sheet — make sure every circled answer is easy to read. Go to **futureceolab.com**, open this lesson, and upload your photo. The site will scan your answers, show your score out of 5, mark each question green (correct) or red (incorrect), and reveal the right answer with an explanation for every question you missed. No answers are shown until after you submit.